

objection on principle, to an investment on *long terms of years* at a peppercorn rent, which beneficially are equal to freeholds. But it remains to be decided whether technically long terms of years answer the description of real securities (e). [In a recent case (f), the late M. R., sitting in the Court of Appeal, observed — “I always understood that a leasehold security was *prima facie* an improper investment of trust money, and that it lay on the trustee to justify it. It would be justified if the leaseholds were held at a peppercorn rent for a long term, without covenants and without impeachment for waste, a mortgage of which was held by V. C. Shadwell in an unreported case to be a proper security for trust money. But in a subsequent case, in which the question did not directly arise, he expressed his opinion that, as a general rule, long terms of years do not answer the description of real securities (g).] It must not be forgotten that, until re- [*328] cently, where *the mortgagor was seised *in fee*, a demise for a long term of years was often thought the more convenient form of mortgage, in order that the land and the money might devolve together upon the personal representative of the mortgagee, and it is difficult to see the distinction between a mortgage for a term of years by demise and a mortgage for a term of years by assignment (a).

58. **Leaseholds with onerous covenants.** — As to *leaseholds* of short duration, and incumbered with covenants and clauses of forfeiture, without laying down the rule that a trustee would not be justified under any circumstances in lending on such a security, he would at least be treading on very delicate ground, and the *onus* would lie heavily upon him to make out the perfect propriety of the investment (b). If

(e) *Townend v. Townend*, 1 Giff. 211.

[(f) *Re Chennell*, 8 Ch. D. 507.]

[(g) *Re Boyd's Settled Estates*, 14 Ch. D. 626.]

[(a) Now, by 44 & 45 Vict. c. 41, s. 65, and 45 & 46 Vict. c. 39, s. 11, long terms of years at peppercorn rents may, in the cases provided by

the Acts, be enlarged into a fee simple, and the question discussed in the text may generally be avoided by exercising the powers so created.]

(b) See *Townend v. Townend*, 1 Giff. 201; *Wyatt v. Sharratt*, 3 Beav. 498; *Fuller v. Knight*, 6 Beav. 209; [*Re Chennell*, 8 Ch. D. 492.]